

25STCV36239 25STCV36239

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Case Number: 25STCV36239 Hearing Date: July 30, 2026 Dept: 307

11 TENTATIVE RULING 9:15 a.m., Thursday, July 30, 2026

DAVID

AVITAN v. ELDAD LIEBERMAN [25STCV36239]

DEMURRER

TO THE FIRST AMENDED COMPLAINT by DEFENDANT ELDAD LIEBERMAN

MEET AND

CONFER: DEFECTIVE [The

parties met and conferred in writing only, not in-person, telephonically, or by video conference. (Yeung Decl., ¶ 6.)]

TIMELINE:

FAC alleges breach of contract, trespass to chattel, & fraud

Circa 3/2024: Plaintiff David Avitan

("Plaintiff"), a merchant of luxury watches and other high-end products, and Defendant Eldad Lieberman ("Defendant") were co-occupants of an office space located in Beverly Hills, CA. Defendant asked Plaintiff to sell certain high-end property (three watches, a necklace, and earrings) (the "Property"), worth at least \$180,000.00, to Defendant. Defendant told Plaintiff that he had a customer who would pay Plaintiff quickly for the Property. Instead of selling the Property, Defendant used the Property as collateral for personal loans in the amount of \$58,384.00.

Unknown

Date: Instead of paying Plaintiff for the sale, Defendant provided

Plaintiff

with a \$90,000.00 check that “bounced” for insufficient funds and provided him with fraudulent documentation of an ACH transfer.

Circa 7/2024:

Defendant refused to continue communicating with Plaintiff, and

Plaintiff

employed third-party Alon Barak (“Barak”) to communicate with Defendant on behalf of Plaintiff.

7/22/2024:

Defendant and Barak (on behalf of Plaintiff) executed a written

agreement

in which Defendant agreed to pay Plaintiff \$50,000.00 by September 30, 2024 as payment for the sale of Defendant’s watches. The parties also agreed that Plaintiff would return to Defendant the following property from the office space: two Mac computers, one iPad, two printers, paperwork, pictures, and airplane models.

7/22/2024

and 7/29/2024: Defendant made two payments to Plaintiff, totaling

\$10,000.00.

9/30/2024:

Defendant failed to pay the remaining owed sum.

12/8/2025: Plaintiff files the Complaint. The

operative First Amended Complaint (“FAC”), filed 4/16/2026, alleges causes of action for:

1. Breach of Contract
2. Trespass to Chattel
3. Fraud and Concealment

5/26/2026: Defendant filed this Demurrer with Motion to Strike, which is followed by Plaintiff's Opposition (6/29/2026). As of 7/29/2026, no Reply has been received.

TENTATIVE

RULINGS: DEMURRER TO THE FIRST AMENDED COMPLAINT OF DEFENDANT ELDAD LIEBERMAN is OVERRULED in part and SUSTAINED with LEAVE TO AMEND in part.

MOTION

TO STRIKE OF DEFENDANT ELDAD LIEBERMAN is DENIED.

I. DEMURRER

Defendant demurs to each cause of action asserted in the FAC pursuant to Code of Civil Procedure section 430.10, subd. (e).

A.

1st

Cause of Action: Breach of Contract — OVERRULED

Plaintiff's breach

of contract claim is sufficiently pled. To plead a cause of action for breach of contract, a plaintiff must allege:

"(1)

the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) To survive demurrer, a plaintiff need only plead the legal effect of the contract rather than its precise language. (Ochs v. PacificCare of Cal. (2004) 115 Cal.App.4th 782, 795; see Miles v. Deutsche Bank Nat'l Trust Co. (2015) 236 Cal.App.4th 394, 402.)

Here, assuming that Plaintiff's allegations are true, the Court finds that the FAC contains sufficient information to state the elements of Plaintiff's breach of contract claim. First, Plaintiff alleges that the parties executed a written "settlement" agreement (the "Settlement Agreement") under which Defendant would pay \$50,000.00 in installment payments to Plaintiff, who given certain Property to Defendant for Defendant to sell on Plaintiff's

behalf. (FAC, Exh. A.) Plaintiff alleges that this payment would settle the claims Plaintiff had against Defendant for failing to sell the Property to a third-party buyer. (Id. ¶ 17.)

In the Settlement Agreement, Plaintiff also promised to return certain materials to Defendant from their office. (Id.

¶ 22, Exh. A.) Although the written Settlement

Agreement does not reflect a date by which Plaintiff was obligated to return these materials, Plaintiff alleges that the parties orally agreed that the return would occur on or after the date that Defendant paid Plaintiff. (Ibid.)

Based on the terms of the signed written Settlement Agreement itself, it can be inferred that Plaintiff agreed to accept \$50,000 in exchange for the misappropriated Property, in addition to Plaintiff's promise to refrain from pursuing legal action against Defendant until September 30, 2024 and for the return of certain items of personal property from the office to Defendant. (Id. Exh. A.) It is clear that the writing itself is merely evidence of the parties' larger negotiated settlement, rather than the entirety of the contract. These allegations are sufficiently clear to infer the existence of a valid and enforceable contract at the demurrer stage.

Second, Plaintiff

alleges that he performed all obligations pursuant to the Agreement and to the extent that any obligation in the Settlement Agreement was not performed, the obligation was prevented or excused by Defendants. (FAC, ¶ 21.) As seen from the date of this lawsuit, Plaintiff did refrain from filing suit for breach of the Settlement Agreement until after September 30, 2024. (See Compl., generally.) Additionally, assuming that payment of the settlement sum was a condition precedent to Plaintiff's obligation to return the office materials to Defendant, Plaintiff was not obligated to perform this promise based on the facts alleged. However, Plaintiff also explains that he attempted to return the personal property to Defendant but was specifically told that Defendant no longer wanted said property and Plaintiff was invited to throw it away.

(FAC, ¶ 23.) Assuming the truth of

this allegation, Plaintiff would have been excused from performing this obligation. While Defendant argues that Plaintiff "fails to adequately plead the scope and effect of the alleged modification or waiver of Plaintiff's obligation's concerning Defendant's property," Defendant seeks a heightened level of factual specificity which is unnecessary for a contract claim at the pleading stage. (Mot., at p. 7.) Further, while Defendant argues that Plaintiff's allegations regarding his performance or excuse from performance are inconsistent with the attached Settlement Agreement, Plaintiff's

allegations merely supplement the parties' intent rather than contradict the writing. (Ibid.; see FAC, Exh. A)

Third, Plaintiff

alleges that Defendant breached this Settlement Agreement by failing to pay Plaintiff the entire sum owed by the agreed-upon date. (Id. ¶ 19.) Plaintiff also alleges that he was damaged in the amount of \$40,000.00 (calculated based on the unpaid settlement sum plus interest) as a result of Defendant's breach of the contract. (Id. ¶ 24.) These facts are sufficient to state a claim for breach of contract at the pleading stage.

Therefore,

Defendant's demurrer to the first cause of action in the FAC is OVERRULED.

B.

2nd

Cause of Action: Trespass to Chattels — OVERRULED

Plaintiff's trespass

to chattels claim is sufficiently pled. Defendant argues that Plaintiff's second cause of action is barred by the economic loss rule because it is seeking "purely economic losses" arising out of a contractual relationship absent a violation of an independent legal duty. This argument is unpersuasive. First, Plaintiff's claim does not allege purely economic losses, it alleges the loss of possession of the unique Property which Defendant misappropriated under false pretenses. (FAC, ¶¶ 8-9, 11, 27.) Second, Plaintiff has expressly pled his trespass to chattels claim against Defendant in the alternative to his breach of contract claim, in the event that the Settlement Agreement is ineffective. (Id. ¶ 26.) Thus, any recovery in relation to Defendant's misappropriation of the Property is independent of the parties' obligations under the Settlement Agreement. (See Opp., at p. 11.) The second cause of action is not merely duplicative of Plaintiff's breach of contract claim, which arises from Defendant's alleged breach of the Settlement Agreement, not the underlying false promise that Defendant would sell Plaintiff's Property to a known buyer.

Therefore,

Defendant's demurrer to the second cause of action in the FAC is OVERRULED.

C.

3rd

Causes of Action: Fraud and Concealment — SUSTAINED with LEAVE TO AMEND

Plaintiff's fraudulent

concealment claim is insufficiently pled. The elements of a

fraud claim are: (1) a misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity; (3) intent to defraud; (d)

justifiable reliance; and (3) resulting damage. (Engalla v. Permanente Medical Group, Inc. (1997)

15 Cal.4th 951, 974.) "The

facts constituting the fraud, including every element of the cause of action,

must be alleged factually and specifically." (Apollo Cap. Fund, LLC v. Roth

Cap. Partners, LLC (2007) 158 Cal. App. 4th 226,

240.) "This particularity requirement necessitates pleading facts which

show how, when, where, to whom, and by what means the representations were

tendered." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) "California courts apply the same specificity standard to evaluate

the factual underpinnings of a fraudulent concealment claim at the pleading

stage, even though the focus of inquiry shifts to the unique elements of the

claim." (Rattagan v. Uber Technologies,

Inc. (2024)

17 Cal.5th 1, 43.)

Here, Plaintiff alleges that in March 2024,

Defendant represented to Plaintiff that he could sell the Property "under

highly favorable terms" (including that he would reimburse Avitan in only one month) and that he had a customer to whom he could quickly sell the Property.

(FAC, ¶ 35.) However, Defendant

concealed that he intended to pawn off the Property below market rate and

refused to pay Plaintiff thereafter. (Ibid.) Plaintiff further alleges

that Defendant knew this representation was false because there was no customer

and he ultimately did pawn the Property at market rate and refused to pay

Plaintiff in full thereafter. (Id. ¶¶ 8-9, 37.) Plaintiff alleges

Defendant indeed to gain the benefit of the Property without paying therefor,

and additionally, Defendant's true conduct after the fact supports an inference

that Defendant intended to defraud Plaintiff. (Id. ¶¶ 37, 40.) Plaintiff

alleges that he relied on Defendant's representation by turning over the

Property and agreeing to a delayed payment, instead of demanding payment up

front. (Id. ¶ 36.) Plaintiff further alleges that he trusted Defendant

because they were officemates and long-time associates, and he would not have

taken the actions he did if he knew the true facts. (Id. ¶¶ 39, 41.)

While

the Court disagrees with Defendant that Plaintiff has not pleaded Defendant's knowledge of falsity or intent to defraud with sufficient particularity, the Court finds that the issue with this cause of action is that it does not plead the underlying false representation with sufficiently specific factual detail. For example, he purported "highly favorable terms" of the sale agreement are impermissibly vague. (FAC, ¶ 35.)

Plaintiff does not identify that the parties agreed to sell the Property at a specific price, whether market price or otherwise. Plaintiff does not identify a time period within which the sale was to be performed, only that it was to occur "quickly." Plaintiff also fails to state how soon he expected the reimbursement payment to be made after the promised sale or whether Defendant expected any consideration in exchange for his efforts in the promised sale. Plaintiff simply has not stated sufficient specific factual details regarding the content of Defendant's promise to infer that he defrauded Plaintiff. Further, Plaintiff does not identify sufficient details regarding the circumstances of the promise itself, other than an approximate month and year. Specifically, Plaintiff does not state how Defendant's false promise was communicated to Plaintiff (e.g. whether orally, or in writing, and if the latter, how?) Accordingly, Plaintiff fails to state a claim for fraud.

Therefore,

Defendant's demurrer to the third cause of action in the FAC is SUSTAINED with LEAVE TO AMEND.

II. MOTION

TO STRIKE – DENIED

Defendant

moves to strike Plaintiff's request for punitive and treble damages from the FAC. Plaintiff seeks punitive damages in connection with his trespass to chattels claim and his fraud claim. As the latter claim has been sustained on demurrer, the Court will consider only the former claim for purposes of this motion to strike. Punitive damages are recoverable in tort actions where "the defendant has been guilty of oppression, fraud, or malice." (Cal. Civ. Code § 3294, subd. (a).) For example, "malice" may be demonstrated by allegations of conduct "intended by the defendant to cause injury to plaintiff, or despicable conduct that is carried on by the defendant with a willful and conscious disregard for the rights or safety of others." (Id., § 3294, subd. (c)(1).)

Here, at minimum, Plaintiff adequately pleads the necessary ultimate facts to demonstrate that Defendant acted with the requisite conscious disregard of Plaintiff's rights to demonstrate malicious intent sufficient to overcome the pleading standard for punitive damages. (FAC, ¶ 31.)

Further,

where, as Plaintiff alleges here, property is obtained in a manner constituting theft or extortion, a plaintiff "may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees." (Pen. Code, § 496, subd. (c).) Defendant argues that this statutory award of treble damages is inapplicable here based on an overly narrow definition of "stolen" property and a mischaracterization of Defendant's trespass to chattels claim as a mere "business or contract dispute." Defendant fails to submit sufficient legal authority to support its position, and the Court finds that Plaintiff's second cause of action is sufficient to support a request for treble damages under Penal Code section 496.

Therefore,

Defendants' motion to strike is DENIED.

Defendant Eldad Lieberman to serve notice of ruling. This tentative ruling ("TR") shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order.

TR emailed to parties and posted to court's website on 7/29/26 at 2 p.m.